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Greece: ATE Bank Restructuring, 2012¹

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Yale Program on Financial Stability Case Study

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Abstract

The Agricultural Bank of Greece (ATE Bank) faced serious difficulties throughout 2008, 2009, and 2010. In 2011 and 2012, ATE Bank's capital situation deteriorated further because of its exposure to the Greek sovereign debt crisis and the 50% haircut of privately held Greek bonds. In March 2012, the Bank of Greece conducted a viability assessment of ATE Bank and submitted a report to the Greek authorities recommending the resolution of ATE Bank through the purchase and assumption of specific assets and liabilities by another bank and the resolution of remaining nonperforming assets and liabilities through a bad bank. This assessment was part of a larger viability assessment of the entire Greek banking sector with the aim of determining which banks were viable and therefore eligible for potential state support. Banks deemed not viable were given the opportunity to raise the necessary capital privately. If a bank required capital that it was unable to raise, it would then be resolved or liquidated. The assessment took into consideration how likely each bank would be to repay funds if given them. In July 2012, ATE Bank's viable activities were purchased by Piraeus Bank, one of the four largest banks in Greece, for a payment of EUR 95 million to the bad bank. The European Financial Stability Facility (EFSF) lent the Hellenic Financial Stability Fund (HFSF) EUR 8 billion to fund the transaction. In 2012, the HFSF reported a receivable of EUR 6.68 billion from the liquidation of ATE Bank but expected to recover only EUR 1.97 billion, resulting in an impairment charge of EUR 4.71 billion. As of 2021, the HFSF had recouped EUR 550 million from the liquidation of ATE Bank and estimated they could still receive an additional EUR 658 million. At that point, the HFSF's losses on ATE Bank totaled EUR 6.26 billion.

Keywords: ATE Bank, bail-in, capital injection, Piraeus Bank, resolution, restructuring

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering bank resolutions and restructurings. A survey of all the cases in this series (McNamara et al. 2024) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss1/>.

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Overview

This module is about the resolution and restructuring of the Agricultural Bank of Greece (ATE Bank) in 2012. During this process, Greek authorities also made several capital injections into the bank.

In November 2008, the European Commission (EC) approved a package of aid for Greek banks (EC 2011). As part of this package, in 2009, ATE Bank received a capital injection of EUR 675 million in Tier 1 preference shares (EC 2011). In August 2010, Greek authorities conducted a strategic viability review of Greek banks under the purview of the first economic adjustment program, which concluded that ATE Bank was facing serious difficulties (EC 2011). Subsequently, in October 2010, ATE Bank submitted a restructuring plan to the EC and later received a capital injection of EUR 1.14 billion (USD 1.65 billion³), plus EUR 115 million from private investors (ATE Bank 2011; EC 2011; EC 2013). As a result of the transaction, the government's stake in the bank rose from 77% to 90% (EC 2011). The capital situation of ATE Bank deteriorated in the second half of 2011 due to its exposure to the Greek sovereign debt restructuring; private investors in Greek government bonds ultimately took a 50% haircut in March 2012 (EC 2013; ESM n.d.a). In December 2011, the Greek government invested an additional EUR 290 million in new shares, bringing its stake up to 93% (EC 2013). After this, the Bank of Greece (BoG) conducted an assessment of the bank (EC 2013). This assessment was part of a larger viability assessment of the entire Greek banking sector with the aim of determining which banks were viable and therefore eligible for potential state support. Banks deemed not

Key Terms

Purpose: To safeguard the deposits of ATE Bank and the financial stability of Greece	
Size and Nature of Institution	ATE Bank was the fifth-largest bank in Greece, with EUR 31.2 billion in assets and EUR 19.7 billion in deposits in 2010
Source of Failure	ATE Bank's exposure to the Greek sovereign debt restructuring
Start Date	March 2012
End Date	July 2012
Approach to Resolution and Restructuring	Viable assets and liabilities sold to Piraeus Bank and nonviable assets liquidated through a bad bank. The HFSF injected capital into ATE Bank's operations transferred to Piraeus, and all bond and equity holders remained with the bad bank
Outcomes	In 2021, the HFSF had received EUR 550 million from the liquidation of ATE Bank and anticipated receiving EUR 658 million more. At this time impairments for ATE Bank totaled EUR 6.26 billion. Following the spring 2013 recapitalization, the HFSF had an 81% stake in Piraeus
Notable Features	Between 2012 and 2015, the EFSF gave Greece EUR 141.8 billion, including EUR 8 billion injected into ATE Bank's activities transferred to Piraeus. After purchasing ATE Bank's viable activities, Piraeus submitted a restructuring plan to the EC

³ Per Bloomberg, EUR 1.00 = USD 1.44 on June 1, 2011.

viable were given the opportunity to raise the necessary capital privately. If a bank required capital that it was unable to raise, it would then be resolved or liquidated (World Bank Group 2016). The assessment took into consideration how likely each bank would be to repay funds if given them. In March 2012, the BoG submitted a report to the Greek authorities with options for the resolution of ATE Bank (EC 2013). This report recommended the resolution of ATE Bank through a purchase and assumption of specific assets and liabilities (primarily deposits) by another bank, followed by the liquidation of the remaining nonviable assets and liabilities through a bad bank (EC 2013). The BoG report considered the full liquidation of ATE Bank as an alternative to the good bank–bad bank approach but found that it would have been more costly and more difficult to implement (EC 2013). The report made this recommendation based on the cost to the Greek state, execution risks, contagion risks, social risks, and funding risks (EC 2013). Ultimately, in July 2012, ATE Bank’s viable activities were purchased by Piraeus Bank, one of the four remaining systemic banks in Greece, which was the only complete bidder, and one of the four banks the BoG had determined were viable (EC 2013; World Bank Group 2016). ATE Bank’s nonviable activities remained with the bad bank, to be liquidated by a special liquidator (EC 2013).

In July 2012, Piraeus purchased ATE Bank’s viable activities in exchange for a EUR 95 million payment to fund the bad bank (EC 2013). Existing ATE Bank shareholders, including the Greek state through its EUR 1.4 billion investment, and subordinated debt investors were wiped out in the transaction (EC 2013). As part of the Piraeus purchase, the Hellenic Financial Stability Fund (HFSF) injected EUR 8 billion of assets into Piraeus in the form of European Financial Stability Fund (EFSF) bonds, including EUR 7.47 billion to cover the asset/liability gap of the transferred activities in March 2013 and EUR 570 million to adequately capitalize the transferred activities in April 2013 (EC 2013; HFSF 2013). ATE Bank’s depositors did not experience any losses.

In 2012, the HFSF estimated it could receive EUR 6.68 billion from the liquidation of ATE Bank (HFSF 2013). Accounting for impairments of EUR 4.71 billion, the HFSF could eventually recoup EUR 1.97 billion (HFSF 2013). As of 2021, the HFSF had received EUR 550 million from the liquidation of ATE Bank and estimated it could still receive an additional EUR 658 million. At this point, impairments for ATE Bank totaled EUR 6.26 billion (HFSF 2022).

The Greek sovereign debt crisis also affected Piraeus Bank; it noted in its bid for ATE Bank that the acquisition would improve its viability and market position in Greece (EC 2013). The EC’s approval of the resolution plan for ATE Bank stated that its approval was contingent on Piraeus Bank’s submitting a restructuring plan that proved it would be a viable bank after absorbing ATE Bank (EC 2013). The EC approved this plan in July 2014 (EC 2014). Figure 1 shows the timeline of events in the restructuring of ATE Bank.

Figure 1: Timeline for the Restructuring of ATE Bank

Date	Event
May 21, 2009	Greece provides a capital injection of EUR 675 million in preferred Tier 1 shares.
August 2010	Greek authorities conduct a strategic viability review of Greek banks under the purview of the first economic adjustment program and conclude that ATE Bank is facing serious difficulties.
October 2010	ATE Bank submits a restructuring plan to the EC.
June 2011	Greece provides a capital Injection of EUR 1.14 billion in ordinary shares, which repurchases the EUR 675 million in preferred Tier 1 shares, plus EUR 115 million from private investors.
Late 2011	ATE Bank's capital situation deteriorates
March 2012	Greece restructures its sovereign debt, and private investors in Greek bonds take a 50% haircut. Bank of Greece recommends ATE Bank be resolved through purchase and assumption and a bad bank after assessing ATE Bank as part of a larger sector-wide assessment.
May 2012	The BoG begins the auction process for ATE Bank's transferred activities by contacting two international investment banks and the four viable Greek systemic banks.
July 2012	Piraeus Bank bids for and purchases the viable activities of ATE Bank.
July 27, 2012	The initial transfer of ATE Bank's viable assets to Piraeus is made; existing shareholders, including the Greek government, and subordinated debt holders are wiped out; ATE Bank announces that its operating license has been revoked.
January 28, 2013	The Bank of Greece determines that the assets/liabilities gap of ATE Bank's activities transferred to Piraeus is EUR 7.47 billion and the capital needs of these transferred activities is EUR 570 million.
Spring 2013	The HFSF makes capital injections of EUR 7.47 billion and EUR 570 million into ATE Bank's activities transferred to Piraeus Bank.
May 3, 2013	The EC approves the resolution of ATE Bank through purchase and assumption and a bad bank.

Sources: ATE Bank 2011; ATE Bank 2012; EC 2011; EC 2013; World Bank Group 2016.

Summary Evaluation

On August 3, 2012, the governor of the Bank of Greece testified before the Greek Parliament's Standing Committee on Economic Affairs regarding the resolution of ATE Bank (BoG 2014, 197). The governor testified that ATE Bank had not been viable without government intervention, that the resolution of ATE Bank complied with applicable legislation, that liquidating ATE Bank would have shaken systemic stability, and that the resolution option selected was the best for ATE Bank's staff, the Greek government, and the stability and soundness of the banking system (BoG 2014, 197).

In May 2015, the productive reconstruction minister of Greece criticized the finance minister for deeming ATE Bank not viable "overnight" and lacking sufficient evidence to support this claim (Athens News Agency 2015). The productive reconstruction minister called the transfer of ATE Bank's viable activities to Piraeus Bank "suspect" (Athens News Agency 2015).

An EC paper looking at the economic adjustment programs in Greece finds that the strategy of concentrating state support on the safeguarding of four systemically important banks was sound, Piraeus being one of the four banks (Andruszkiewicz et al. 2020). The same paper says that depositors were protected and the “financial stability of the banking system was preserved” (Andruszkiewicz et al. 2020).

Context: Greece, ATE Bank, 2010–2011	
Assets	EUR 31.2 billion as of 2010 EUR 26.5 as of 2011
Liabilities	EUR 31.2 billion as of 2010
Deposits	EUR 19.7 billion as of 2010
Capital Adequacy Ratio	7.3% as 2010 4.3% as of 2011
Nonperforming Loans	Unavailable
Market Share	Unavailable
Banking System, % of GDP	Unavailable
<i>Sources: EC 2011; EC 2013.</i>	

Key Design Decisions

1. Purpose: Greek authorities restructured and resolved ATE Bank to safeguard the deposits of ATE Bank and the financial stability of Greece.

Although the Agricultural Bank of Greece (ATE Bank) had begun restructuring in the first half of 2011, its capital situation deteriorated further in the second half of 2011 leading to its resolution (EC 2013). This restructuring plan included a capital injection, the sale of some of ATE Bank's subsidiaries, a balance sheet reduction, a revenue enhancement program, improved focus on risk management, a new monitoring trustee, and commitments to maintaining a liquidity coverage ratio of more than 50% as well as a hold on purchasing new bonds, participating in proprietary trading activities, paying coupons or dividends, new acquisitions, and a ban on advertising (EC 2011).

The capital situation of ATE Bank deteriorated in the second half of 2011 because of its exposure to the Greek sovereign debt restructuring; privately held Greek bonds ultimately took a 50% haircut in March 2012 (EC 2013; ESM n.d.a). In March 2012, Greek authorities submitted a report from the BoG to the EC assessing options for the resolution of ATE Bank (EC 2013). This assessment was part of a larger assessment of the entire Greek banking sector with the aim of determining which banks were most likely to repay funds granted and resolving the rest (World Bank Group 2016). The report ultimately recommended the resolution of ATE Bank through a purchase and assumption of specific assets and liabilities followed by the resolution of the remaining nonviable assets and liabilities through a bad bank (EC 2013). Specifically, this report and analysis determined that ATE was not a viable bank based on an assessment of which banks were most likely to repay funds granted (EC 2013). The report considered liquidation as an alternative to the good bank/bad bank approach but found that it would have been more costly and more difficult to implement (EC 2013). The report considered the cost to the Greek state, execution risks, contagion risks, social risks, and funding risks (EC 2013). A press release from the BoG announcing the resolution of ATE Bank and the transfer of viable activities to Piraeus stated these actions were intended to safeguard the deposits of ATE Bank and the financial stability of Greece (BoG 2012).

Piraeus Bank noted in its bid for ATE Bank that the acquisition would improve its viability and market position in Greece (EC 2013). The acquisition made Piraeus Bank the second-largest bank in Greece, rebalanced its loan book, and improved Piraeus's deposit mix (EC 2013). The HFSF had recapitalized Piraeus Bank multiple times before Piraeus's purchase of ATE Bank (EC 2014). Following the HFSF's recapitalization of ATE Bank's activities purchased by Piraeus, the HFSF had an 81% stake in Piraeus (EC 2014). The EC's approval of the resolution plan for ATE Bank stated that its approval was contingent on Piraeus Bank submitting a restructuring plan that proved it could maintain its viability after absorbing ATE Bank (EC 2013).

2. Part of a Package: ATE Bank also received several capital injections and participated in a state guarantee and a Greek bond loan scheme.

When the European Commission (EC) approved this resolution plan in May 2013, ATE Bank had already received aid in the form of capital injections of EUR 675 million in Tier 1 preference shares and EUR 1.14 billion in ordinary shares (where EUR 675 million repurchased the Tier 1 preference shares from the first injection), a state guarantee to issue debt with a nominal value of EUR 4.70 billion, and a EUR 1.41 billion participation in the Greek bond loan scheme (EC 2013). As of November 2011, the Greek government had an 89.9% stake in ATE Bank (EC 2014).

ATE Bank's capital position deteriorated further after the EC's approval of the bank's initial restructuring plan (EC 2013). ATE Bank received an additional capital injection of EUR 290 million in December 2011 (EC 2013). For further information regarding the June 2011 and December 2011 capital injection, see Schaefer-Brown (forthcoming). In 2013, Piraeus Bank received two more capital injections that were part of the resolution of ATE Bank (EC 2013). Figure 2 shows all of the capital injections ATE Bank received in the period leading up to its resolution and as part of the resolution.

Figure 2: Capital Injections, ATE Bank

Date	Amount	Characteristics
May 21, 2009	EUR 675 million	Tier 1 preference shares
June 2011	EUR 1.14 billion (EUR 469 million net)	Capital injection of ordinary shares, of which EUR 675 million was used to repurchase the preferred shares from the first capital injection; the Greek state's stake rose from 77% to 90%
December 29, 2011	EUR 290 million	Greek state injects EUR 290 million to purchase ordinary shares in ATE Bank, bringing its stake to 93%
March 26, 2013	EUR 7.47 billion	HFSF injection of EFSF bonds into Piraeus Bank to make up for the asset/liability gap in the transferred activities
April 10, 2013	EUR 570 million	HFSF recapitalization of Piraeus Bank with EFSF bonds so the transferred activities were adequately capitalized up to 9%

Sources: EC 2011; EC 2013; HFSF 2013.

3. Legal Authority: The HFSF Law and Greek banking laws provided the framework for ATE Bank's resolution.

The HFSF Law and Article 63B of Greek Law 3601/2007 (Greek Resolution Law) provided the legal framework for the resolution of ATE Bank (EC 2013; HFSF n.d.a; Hellenic Republic

2007). This process included the sale of specific viable activities of ATE Bank (transferred activities) to another Greek bank, Piraeus Bank, and the resolution of the bank's nonviable activities via a bad bank (EC 2013).

The BoG acted as the resolution authority to coordinate the purchase and assumption and the resolution of ATE Bank's activities (EC 2013). The Greek Resolution Law includes provisions in cases where financial stability is a concern, which allowed the BoG to contact a small number of buyers when trying to sell the viable assets of ATE Bank as opposed to having a less restricted auction (EC 2013).

The EC also reviewed the resolution plan and the corresponding capital injections and decided that the transfer of the transferred activities to Piraeus Bank did not constitute State Aid (EC 2013). The EC decided that the three capital injections in connection with the resolution of ATE Bank did constitute State Aid; however, such aid was compatible with the internal market pursuant to the Treaty on the Functioning of the European Union (EC 2013). The EC noted that the capital injection of EUR 290 million was in breach of Article 108(3) of the Treaty on the Functioning of the European Union (EC 2013).

4. Administration: The BoG acted as the resolution authority.

The BoG acted as the resolution authority and as such was able to facilitate the purchase and assumption and the resolution of ATE Bank's activities (EC 2013). In May 2012, the BoG began the auction process for ATE Bank's transferred activities by contacting two international investment banks and the four viable Greek systemic banks (EC 2013). Two Greek banks submitted bids, but because these banks had received aid from the HFSF, they needed the HFSF to approve their bids (EC 2013).

The BoG appointed PQH Single Special Liquidation SA as special liquidator in 2016 (Javaid 2016). This was also a commitment under the memorandum of understanding, which also required future fees be "performance based" when liquidation proceeds stalled.

5. Governance: The BoG monitored the resolution of the bad bank and the integration of ATE Bank's activities transferred to Piraeus Bank.

The BoG committed to the EC that it would monitor the integration of ATE Bank's transferred activities into Piraeus Bank and the resolution of the bad bank (EC 2013). A trustee was already in charge of monitoring the commercial policy of Piraeus Bank; this role was expanded to include monitoring of the commitments from Piraeus Bank in regard to the integration of ATE Bank's transferred activities (EC 2013). These commitments are detailed in Figure 3. The BoG was responsible for making annual reports to the EC regarding the commitments of the Greek authorities in regard to the winding down of the bad bank, as seen in Figure 5 (EC 2013).

6. Communication and Disclosure: The BoG issued a press release announcing the merger and stated it was to safeguard deposits and overall Greek stability.

On July 27, 2012, the BoG issued a press release announcing that Piraeus had absorbed the “sound” part of ATE Bank (BoG 2012). This announcement cited safeguarding ATE Bank’s deposits and Greek financial stability as the reasons for the merger (BoG 2012). On the same day, ATE Bank announced that its operating license had been revoked by the governor of the Bank of Greece and its healthy assets had been transferred to Piraeus Bank (ATE Bank 2012). This announcement stated that the change in ownership would not change the operations of the bank (ATE Bank 2012). On November 28, 2012, the EC responded to questions from the European Parliament regarding the resolution of ATE Bank (European Parliament 2012). This response noted the Bank of Greece had determined ATE Bank was “non-viable” and “loss-making” and gave updates on the sale of ATE Bank’s transferred activities (European Parliament 2012).

7. Source and Size of Funding: The HFSF injected EUR 8 billion in capital using EFSF bonds, which represented loans from the EFSF to the Greek government.

On January 28, 2013, the BoG found the final assets/liabilities gap of the ATE Bank’s transferred activities was EUR 7.47 billion and the capital needs resulting from the transferred activities were EUR 570 million (EC 2013). The gap was primarily a result of all deposits being transferred to Piraeus and most nonperforming loans (NPLs) being transferred to the bad bank; only a few NPLs were transferred to Piraeus, when authorities concluded they would be likely to recover some value. The HFSF injected EUR 570 million in EFSF bonds into the transferred activities so that Piraeus was adequately capitalized up to 9% (EC 2013; HFSF 2013). The HFSF also injected EUR 7.47 billion in EFSF bonds into the transferred activities to make up the assets/liabilities gap (EC 2013). EFSF bonds are floating-rate notes from the EFSF used to recapitalize banks (HFSF 2013). The HFSF received these funds after an agreement was reached between the BoG and the EFSF (ESM n.d.b). The funds were loans from the EFSF to Greece (ESM n.d.b). As of 2015, the outstanding amount of loans from the EFSF to Greece was EUR 130.9 billion (ESM n.d.b).

European countries created the EFSF in 2010 as a temporary crisis resolution mechanism and provided financial assistance to Ireland, Portugal, and Greece (EC n.d.). The EFSF financed its assistance through bonds and other debt instruments (EC n.d.). The HFSF is a private legal entity and does not belong to the public sector. However, it is funded by European Stability Mechanism (ESM) loans via the Greek government (HFSF n.d.b). The ESM was eventually created in 2012 as a permanent crisis resolution mechanism, and all subsequent Greek funding was through the ESM.

8. Approach to Resolution and Restructuring: ATE Bank’s viable activities were absorbed by Piraeus Bank and its remaining activities were resolved through a bad bank.

In March 2012, Greece conducted an assessment of the entire Greek banking sector with the aim of determining which banks were viable and therefore eligible for potential state

support (World Bank Group 2016). Banks deemed not viable were given the opportunity to raise the necessary capital privately. If a bank required capital that it was unable to raise, it would then be resolved/liquidated (World Bank Group 2016). The assessment took into consideration how likely each bank would be to repay funds if given them. This resulted in the selection of systemically important banks, which Greece concentrated state support on and which acted as the main pillars of the Greek financial system, with a capacity to absorb other resolved banks (Andruszkiewicz et al. 2020).

In May 2012, the BoG began the auction process for ATE Bank's transferred activities by contacting two international investment banks and the four viable Greek Bank's (EC 2013). There was no foreign interest, but Piraeus Bank and Eurobank submitted nonbinding offers to the Hellenic Financial Stability Fund (EC 2013). Because these banks had been affected by the Greek sovereign debt crisis and already received aid from the HFSF, they needed the HFSF to approve their offers (EC 2013). On July 24, 2012, Eurobank revoked its offer (EC 2013). On July 26, 2012, the HFSF approved Piraeus Bank's offer of EUR 95 million to the bad bank to facilitate the immediate operations of the bad bank (EC 2013). The transfer of ATE Bank's selected assets and liabilities to Piraeus Bank began on July 27, 2012 (EC 2013).

Figure 3 shows the breakdown of which activities were part of ATE Bank's transferred activities and which remained with the bad bank (EC 2013). In commitments made to the EC, the BoG committed to appointing a special liquidator in charge of the bad bank (EC 2013). Piraeus Bank submitted a plan for the integration of ATE's transferred activities with its bid for the transferred activities (EC 2013). Piraeus paid EUR 95 million to the bad bank and received the transferred activities, including capital injections from the HFSF into Piraeus covering the assets/liabilities gap and adequately capitalizing the transferred activities (EC 2013). Figure 4 shows the assets and liabilities of the capital injections for each entity involved in the recapitalization process. In total, Piraeus received EUR 21.6 billion in assets and equal liabilities (Piraeus 2014).

Figure 3: Transferred Activities and Activities Remaining in the Bad Bank

Transferred Activities	
Assets	Liabilities
Cash	Due to customers
Due from other banks	Due to central banks
Some derivatives	Due to other banks
Loans & advances to customers (except past-due loans)	Due to other subsidiaries
Securities portfolio	Due to the Eurosystem
Tangible & intangible assets	Specific derivatives
Investment property	Other provisions
Contributions to the Greek Deposit Guarantee Fund	
Participation in specified subsidiaries & associates	
Other assets	
Bad Bank	
Assets	Liabilities
Past-due loans & advances to customers	Specific derivatives
Participation in some subsidiaries & associates	Retirement benefit obligations
Specific derivatives	Debt securities in issue
Deferred tax assets	Other provisions
Due from other banks used as cash collateral for derivatives	Tax liabilities
Specific repos	

Source: EC 2013.

Figure 4: Assets and Liabilities Associated with the ATE Bank Resolution and Capital Injections

EFSF	
Assets	Liabilities
EUR 8 billion Greek government debt	EUR 8 billion EFSF debt securities
HFSF	
Assets	Liabilities
EUR 6.68 billion receivables from ATE Bank in liquidation	EUR 8 billion owed to the EFSF
EUR 570 million equity in Piraeus	
Piraeus	
Assets	Liabilities
EUR 8 billion EFSF debt securities	EUR 570 million equity owned by the HFSF
ATE Bank in Liquidation	
Assets	Liabilities
	EUR 6.68 billion receivables owed to HFSF

Sources: EC 2013; EC 2014; HFSF 2013.

9. Treatment of Creditors and Equity Holders: Depositors were transferred to Piraeus while creditors and equity holders remained in the bad bank when it was resolved.

Figure 3 shows which activities were transferred to Piraeus and which remained with the bad bank. Depositors were transferred to Piraeus (EC 2013). Creditors and equity holders of ATE Bank remained with the bad bank (EC 2013). As of November 2011, the Greek government had a 89.9% stake in ATE Bank (EC 2014). Research has not indicated that creditors and equity holders received any money from the resolution of the bad bank. The HFSF had priority claim over claims of unsecured creditors of the bad bank and as of 2021 was still recouping funds from the liquidation of the bad bank (EC 2013; HFSF 2022).

10. Treatment of Clients: Some clients remained with the bad bank, and some were transferred to Piraeus.

Figure 3 shows which activities were transferred to Piraeus and which remained with the bad bank. Broadly, viable activities were transferred to Piraeus while nonviable activities remained in the bad bank (EC 2013).

11. Treatment of Assets: Viable assets were absorbed by Piraeus Bank, and nonviable assets remained with the bad bank.

Figure 3 shows which assets were part of ATE Bank's activities transferred to Piraeus Bank and which remained in the bad bank. Viable assets were transferred to Piraeus while nonviable assets remained in the bad bank (EC 2013).

12. Treatment of Board and Management: Piraeus Bank assessed the board and management of ATE Bank.

The directors, management, and personnel of ATE Bank were assessed by Piraeus Bank (EC 2013). Piraeus announced the merger on July 27, 2012, and ensured all employees of ATE Bank would keep their jobs, stating that "together both forces, executives and employees of Piraeus Bank and Agricultural Bank, create a sound domestic financial institution" (Athens News Agency 2012). This was primarily to mitigate the political impact associated with letting state employees go. ATE Bank employees who moved to Piraeus received a new private sector contract from Piraeus with a nine-month probation period. This meant that there was not an immediate impact of letting go employees while also allowing Piraeus to release any staff deemed unnecessary at the end of the probation period.

13. Cross-border Cooperation: Research has not revealed cross-border cooperation involved with this resolution and restructuring.

Research has not revealed further cross-border cooperation in connection with the restructuring and resolution of ATE Bank.

14. Other Conditions: The Greek authorities and Piraeus Bank made commitments to the European Commission.

Figure 5 shows the commitments made by the Greek authorities in the May 3, 2013, EC decision, and Figure 6 shows the commitments made by Piraeus Bank in the same decision.

Figure 5: Greek Authorities' Commitments to the EC

Regarding the Integration of the Transferred Activities of ATE Bank into Piraeus Bank	Regarding the Resolution of the Bad Bank
Piraeus Bank will implement its integration plan commitments (see Figure 6).	The BoG will appoint a special liquidator and monitor the bad bank, which will not develop new activities or enter new markets.
The trustee in charge of monitoring the commercial policy of Piraeus will monitor the integration of ATE Bank's transferred activities into Piraeus Bank.	The bad bank will manage the existing commercial assets to maximize the value of the assets within the confines of normal commercial practice.
Piraeus Bank will provide a restructuring plan to the EC including the integration of ATE Bank's transferred activities.	The bad bank will not pay coupons or exercise calls on subordinated debt instruments unless legally obligated to do so.
The Greek authorities will respect and achieve full compliance with Piraeus Bank's implementation of its updated restructuring plan.	The BoG will submit annual reports on the winding down activities of the bad bank and related commitments.

Source: EC 2013.

Figure 6: Piraeus Bank's Commitments Regarding the Transferred Activities of ATE Bank

Action	Deadline
Data migration	June 30, 2013
Uniform IT systems	September 30, 2013
Management integration & assessment of ATE executives	Concluded
Assessment of ATE personnel	June 30, 2013
Back office functions integration	September 30, 2013
Reduction of Piraeus Bank's ATE branch network	December 31, 2015
Merger of ATE Mutual Funds & Piraeus Mutual Funds	June 30, 2013
Decisions concerning the sale of ATE Insurance	September 30, 2013
Examination of options for Piraeus Bank's 20.3% stake in AK Bank Serbia & 19.6% stake in FBB	September 30, 2013

Source: EC 2013.

15. Duration: ATE Bank's bad bank had an outstanding balance with the HFSF as of 2021.

The transfer of ATE Bank's viable activities took place in July 2012 (ATE Bank 2012; EC 2013). As of 2021, the HFSF had received EUR 550 million and estimated it could still receive EUR 658 million. At this point, impairments totaled EUR 6.26 billion (HFSF 2022).

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